

EXECUTIVE SUMMARY**Customer Segmentation & Churn Pattern Analytics
in European Banking***Prepared for Government and Regulatory Stakeholders*

Prepared by: Sanjoy Das, Data Analytics Division — Unified Mentor Pvt Ltd Data Analyst Internship Programme. This summary distils a detailed technical research paper into a form suitable for policy and oversight review; no statistical or technical background is required to read it.

Purpose of This Summary

Retail banks hold detailed records on why customers choose to leave. When examined systematically, these records can reveal patterns that matter well beyond any single bank's commercial interest — including regional disparities in customer outcomes, risks concentrated among specific age groups, and early-relationship experiences that may warrant consumer-protection attention. This summary presents the findings of such a review, conducted on a portfolio of 10,000 customer relationships across France, Germany, and Spain, in plain terms for stakeholders responsible for financial-sector oversight and consumer welfare.

Headline Figures**20.4%**

of customers left the bank over the period
reviewed

1 in 3

customers in Germany left — nearly double
the rate in France or Spain

€113M+

in customer account funds already lost
among higher-value customers who left

What the Data Shows

1. Overall customer loss is significant but not evenly spread. Roughly one in five customers left the bank during the period studied. That loss is not distributed evenly — it is concentrated in specific, identifiable groups of customers, not spread uniformly across the customer base.
2. Germany stands out as a market of particular concern. Customers in Germany left at nearly double the rate seen in France or Spain. This gap is large enough that it is unlikely to be explained by chance, and warrants further inquiry into whether it reflects differences in service quality, local market conditions, or competitive pressure specific to that market.
3. One specific group of customers — those in Germany aged 46 to 60 — is especially likely to leave, at a rate more than three times the overall average. This group did not stand out when looking at Germany alone, or at that age group alone; the risk only becomes visible when the two factors are considered together. This is a population approaching retirement, a life stage in which consumer-protection considerations around financial decision-making are already a recognised area of regulatory interest.
4. New customers are at the highest risk of leaving within their very first year with the bank. This points toward the account-opening and early-service experience as a specific, addressable point of concern, rather than attrition being an unavoidable, gradual process that unfolds evenly over a customer's relationship with the bank.
5. The number of financial products a customer holds is strongly linked to whether they stay. Customers with very few products, and customers with an unusually high number of products, both leave at materially elevated rates. The latter pattern in particular raises a question worth further review: whether some customers were sold more products than genuinely suited their needs.
6. Higher-value customers are not immune. Customers holding larger account balances or higher incomes leave at a somewhat higher rate than other customers, and because of the size of their accounts, their departure

carries a disproportionate financial impact — over €113 million in account funds has already left the bank through this group alone.

An Early-Warning Capability Now Exists

Beyond describing past patterns, this review also developed and tested an analytical model capable of identifying, in advance, which customers are most likely to leave. Tested against real outcomes, the model successfully identified a group of customers — roughly one in ten of the total customer base — who went on to leave at a rate of nearly 90%, compared with an average of about 20% across the whole customer base. This demonstrates that customer attrition in this portfolio is substantially predictable, and therefore addressable through earlier, better-targeted intervention rather than only being measurable after the fact.

Why This Matters for Public Policy and Oversight

- **Regional disparity:** A near-doubling of customer loss in one national market, relative to comparable markets under the same institution, is the kind of pattern that supervisory bodies typically consider worth monitoring, whether the underlying cause proves to be commercial, competitive, or service-related.
- **Consumer protection for older customers:** The concentration of risk among customers approaching retirement age intersects with existing regulatory concern around financial decision-making at this life stage, and may merit closer attention to how this group is served.
- **Fair treatment and product suitability:** The pattern of elevated attrition among customers holding an unusually high number of products is consistent with, though does not on its own prove, a mis-selling risk that conduct regulators may wish to examine further.
- **Financial stability at the margin:** While the sums involved in this single-institution study are not systemically significant on their own, the same analytical approach, applied sector-wide, could surface early signals of broader retail banking stress or declining consumer confidence in specific markets.

Recommendations for Stakeholder Consideration

1. Encourage monitoring of regional customer-outcome disparities, using Germany's elevated attrition rate in this review as a reference point for what a material gap looks like in practice.
2. Support closer supervisory attention to how older, pre-retirement customers are served, given the concentration of risk identified in this age group.
3. Encourage the institution to review product-bundling and cross-sell practices among customers holding a high number of products, to rule out unsuitable selling as a contributing factor.
4. Encourage continued investment in early-relationship (first-year) customer support, given that new customers show the highest single-year risk of leaving.
5. Support the continued use of predictive, data-driven early-warning tools of the kind demonstrated in this review, both as a commercially sound practice and as a means of ensuring at-risk customers receive appropriate attention before, rather than after, they leave.

Conclusion

This review shows that customer attrition in this retail banking portfolio, while substantial in aggregate, is neither random nor evenly distributed. It is concentrated in identifiable regions, age groups, and product-holding patterns, and it is measurably predictable using the data the institution already holds. These findings are offered to support informed oversight and to encourage continued, targeted attention to the customer groups and market where risk is most concentrated.

Source and Verification

All figures in this summary are drawn directly from the accompanying technical research paper, 'Customer Segmentation & Churn Pattern Analytics in European Banking', and the underlying customer dataset (n = 10,000). Detailed methodology, statistical tables, and the full predictive model evaluation are available in that companion document for any reader wishing to verify or examine these findings in greater technical depth.